OFFERING MEMORANDUM

Lantern Terrace | Hartford, CT

Property	Lantern Terrace
Location	2027 Meadow Court, Hartford, CT 17729
Property Type	Multifamily
Size	139 apartment homes
Year Built	2021
Offering	Unpriced - Offers Due June 27, 2021

Investor Distributions

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Projected levered IRR is 10.5% with an equity multiple of 1.14x over the hold period. Resident turnover has averaged 13.6% annually with renewal retention above 95.5%.

Projected levered IRR is 8.0% with an equity multiple of 1.32x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Demographics and Employment

The Hartford Multifamily market has experienced absorption of 3600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.59% and 5.59%. Rent growth in the submarket has averaged 4.1% annually over the past 10 years.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 6.97% and 6.97%. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Lantern Terrace is located in Hartford, CT, a market that has recorded 3.5% population growth over the last five years.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet.

Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 7.0% annually with renewal retention above 93.0%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Projected levered IRR is 6.3% with an equity multiple of 1.24x over the hold period.

Demographics and Employment

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Business Plan Progress

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 12.9% annually with renewal retention above 93.5%. Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 11.9% with an equity multiple of 1.9x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital.

Supply and Demand

Lantern Terrace is located in Hartford, CT, a market that has recorded 13.7% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 4-mile radius of the property is approximately $56,000 and has grown 2.5% annually. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.94% and 5.94%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Median household income within a 9-mile radius of the property is approximately $448,000 and has grown 2.7% annually. Rent growth in the submarket has averaged 7.0% annually over the past 3 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 7.02% and 7.02%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investor Distributions

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Resident turnover has averaged 11.2% annually with renewal retention above 91.9%.

Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. Resident turnover has averaged 12.4% annually with renewal retention above 90.3%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Submarket Analysis

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 7-mile radius of the property is approximately $358,000 and has grown 5.1% annually. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.40% and 5.40%.

Lantern Terrace is located in Hartford, CT, a market that has recorded 13.0% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 8.5%, down from 6.8% two years ago. The Hartford Multifamily market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Rent growth in the submarket has averaged 3.2% annually over the past 7 years.

Risk Considerations

Projected levered IRR is 9.3% with an equity multiple of 1.40x over the hold period. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Granite Residences	Houston, TX	07/30/2025	194	$35,069,808	$252,301	5.42%	1989
Banyan Terrace	Cleveland, OH	05/23/2023	165	$35,183,062	$253,116	6.71%	2009
Banyan Apartments	Buffalo, NY	01/19/2022	104	$22,601,375	$162,600	6.06%	1983
Indigo Residences	Denver, CO	08/13/2023	174	$37,322,851	$268,510	8.04%	2019
Lockwood Residences	Chicago, IL	01/10/2024	76	$34,561,425	$248,643	7.53%	1985
Whitaker Terrace	Greenville, SC	12/30/2022	161	$21,822,585	$156,997	7.78%	1986
Cobalt Lofts	Portland, OR	03/18/2026	201	$33,801,027	$243,173	7.74%	1997
Magnolia Commons	Columbus, OH	06/15/2026	89	$38,887,632	$279,767	8.01%	1975
Hawthorne Villas	Jacksonville, FL	06/04/2024	187	$25,772,314	$185,412	7.40%	2007
Zephyr Villas	Orlando, FL	08/31/2025	80	$37,453,736	$269,451	8.00%	2007
Westgate Terrace	Naperville, IL	10/11/2022	135	$25,420,188	$182,879	7.54%	2018
Cedar Flats	Richmond, VA	10/14/2024	127	$13,140,652	$94,537	5.24%	2021
Copper Commons	St. Louis, MO	08/10/2022	191	$18,407,829	$132,430	7.33%	2010
Maple Commons	Newark, NJ	07/19/2022	178	$31,753,302	$228,441	7.33%	1989
Laurel Villas	San Diego, CA	03/25/2023	120	$42,555,372	$306,154	6.85%	1980
Riverbend Flats	Greenville, SC	10/09/2023	176	$43,393,378	$312,183	6.41%	1993
Pinecrest Flats	Milwaukee, WI	05/09/2024	181	$24,111,671	$173,465	6.17%	1980
Zephyr Flats	Columbus, OH	05/01/2023	175	$27,070,378	$194,751	5.38%	1979
Tidewater Flats	Savannah, GA	08/15/2026	133	$19,228,451	$138,334	5.81%	1989
Maple Flats	Baltimore, MD	05/04/2023	206	$33,071,069	$237,921	6.48%	1977
Lakeshore Apartments	San Diego, CA	02/03/2024	203	$26,046,940	$187,388	6.16%	2020
Tidewater Terrace	Minneapolis, MN	07/01/2023	173	$36,516,293	$262,707	7.84%	2014
Keystone Lofts	Richmond, VA	12/27/2024	111	$19,204,925	$138,165	5.64%	1979
Laurel Residences	Birmingham, AL	03/10/2023	71	$25,850,833	$185,977	5.57%	2001
Aspen Terrace	Naperville, IL	02/22/2023	204	$33,946,063	$244,216	7.79%	1990
Copper Apartments	Columbus, OH	10/10/2022	88	$19,415,950	$139,683	6.99%	1987
Vista Commons	Salt Lake City, UT	01/10/2022	72	$25,099,278	$180,570	6.08%	1998
Everett Flats	Austin, TX	02/02/2025	103	$33,770,068	$242,950	6.51%	1977
Sterling Commons	Las Vegas, NV	09/27/2024	77	$23,745,369	$170,830	5.59%	2011
Cedar Villas	Cincinnati, OH	04/27/2022	184	$33,509,638	$241,077	6.64%	1973
Oakmont Residences	Tampa, FL	01/23/2025	102	$31,841,598	$229,076	8.11%	1987
Oakmont Villas	Charlotte, NC	03/25/2022	158	$44,278,680	$318,552	6.73%	1981
Brookside Villas	Grand Rapids, MI	07/26/2022	95	$35,135,234	$252,771	7.68%	2006
Indigo Flats	Naperville, IL	12/23/2025	156	$20,406,115	$146,807	6.50%	2004
Ridgeline Lofts	Boise, ID	01/31/2022	115	$35,728,274	$257,038	6.50%	1983
Ironwood Flats	Memphis, TN	09/28/2022	148	$26,697,958	$192,072	5.63%	1985
Magnolia Commons	Portland, OR	11/01/2023	81	$16,539,596	$118,990	7.40%	2017
Cobalt Lofts	Allentown, PA	01/14/2026	76	$44,435,320	$319,679	5.60%	2000
Granite Apartments	Indianapolis, IN	08/13/2022	128	$35,686,776	$256,739	5.66%	1985
Lakeshore Lofts	Columbus, OH	08/07/2022	191	$13,598,059	$97,828	6.90%	1996
Meridian Lofts	Sacramento, CA	01/04/2024	163	$31,977,717	$230,056	7.33%	1980
Falcon Terrace	Indianapolis, IN	12/15/2023	99	$42,542,769	$306,063	6.65%	1992

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Disclaimer and Confidentiality

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CT. This document relates solely to Lantern Terrace and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Lantern Terrace and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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